fiscal deficit. It is a measure of current year's fiscal operation after excluding the liability of interest payment created due to borrowings of the past.

Primary Deficit = Fiscal Deficit – Interest Payment

Monetised Deficit

Monetised deficit goes beyond the Government's budgetary operations. This represents the increase in the net RBI credit to the Union Government which is the sum of increases in the RBI's holding of Government debt and any draw down by the Government of its cash balance with RBI. To say simply, the monetised deficit represents the expansion in money by the RBI.

Monetised Deficit = Borrowing from RBI + Draw down balance of government from RBI

Types of Budget

There are different kinds of budget. These budgets have different principles to achieve best results. They are explained in the following passage.

Performance and Programme Budgeting

In this budget, the chosen programmes/projects are subjected to the tests of actual performance against their expected standards. So, it involves stage wise planning and standard fixation to assess performance of programmes. It establishes a correlation between physical (output) and financial (input) aspects of each programme and activity.

It was introduced in India in 1968 for four ministries and in 1975 – 76 for all developmental departments.